

## ↓ GETTING THE BEST DEAL

The point of insurance is to protect you and your family from financial loss due to illness, accident, or natural disaster. The charge you pay for all types of insurance is called the **premium**. Remember this term. You'll hear it a lot.

Premiums can vary tremendously from one insurance company to the next. Take the case of car insurance. Studies have shown that insurers in the same city often sell the same exact policies for radically different rates. A 20-year-old guy living on the West Side of Chicago, for example, could pay as little as \$808 or as much as \$3,441 for the same amount of auto liability protection! The point is clear: You might be able to save yourself thousands of dollars if you shop around.

Before I get into the details of the various types of coverage, here are some general tips that will help you save money when you buy insurance:

- **Compare quotes online.** There are several sites that will scan their multicompany databases and send you a free list of the least expensive policies. If you buy a policy through one of these outfits, you pay no more than you would have had you bought it directly from an insurance agent. (Insurance is generally sold by specialized salespeople called **agents**.) Some of these services make their money by keeping the commission the agent would have received. Others point you to the best deals sold by outside agents; they make their money directly from these agents. One advantage to these Web-based search firms is that they have access to many more policies than an individual insurance agent would.
- **Check with a couple of insurance agents.** While the Web makes it a lot easier to *compare* products from different insurance companies without meeting directly with an insurance agent, you'll often find you still have to go through an agent if you want to *buy* a particular policy. Since you might have to end up working with an agent anyway, mention other offers you're seeing online to see if you can